

MODEL TEST PAPER 3
INTERMEDIATE GROUP – II

PAPER – 6A : FINANCIAL MANAGEMENT & STRATEGIC MANAGEMENT

PAPER 6A: FINANCIAL MANAGEMENT

Time Allowed – 3 Hours (Total time for 6A and 6B) Maximum Marks – 50

1. *The question paper comprises two parts, Part I and Part II.*
2. *Part I comprises Case Scenario based Multiple Choice Questions (MCQs)*
3. *Part II comprises questions which require descriptive type answers.*
4. *Working note should form part of the answer. Wherever necessary, suitable assumptions may be made by the candidates and disclosed by way of note. However, in answers to Questions in Division A, working notes are not required.*

PART I – Case Scenario based MCQs (15 Marks)

Write the most appropriate answer to each of the following multiple choice questions by choosing one of the four options given. All questions are compulsory.

1. Twigato Ltd is an all equity financed company in the food delivery business and is considering an expansion into quick grocery delivery business segment. It is the market leader in the current food delivery business with a valuation of ₹ 5750 crores. From the discussion in the recent fund-raising meeting with the venture capitalists, it has been noted that the quick delivery business is expected to be run for 6 years, after which it will be sold to another entity for a target valuation of 2 times of the investment made in the business segment. The new segment will be funded by debt, preference and equity shares in the ratio of 3:2:5. The quick grocery delivery would require ₹ 30 crores of investment to start with and subsequently it will require additional infusion of ₹ 20 crores in start of year 2 and ₹ 25 crores of fund infusion in start of year 4. The operating financials of the business is expected to be on following lines for the 1st year of operation.

No of quick orders = 10000 per day

No of overnight orders = 2000 per day

Ticket sizes quick orders: 5000 orders below ₹ 500, 3000 orders between ₹ 500 and ₹ 1000 and 2000 orders above ₹ 1000 with average ticket size being ₹ 700 per order.

Delivery charges are applicable for orders below ₹ 500, which is flat ₹ 40 per order.

The company would charge 5% of invoice value from the seller of the quick delivery products and 7% in case of overnight delivery.

Overnight deliveries would be available to only subscription-based customers and subscription charges are ₹ 5000 p.a. Each overnight order is expected to

be having an average ticket size of ₹ 750 per order. Each subscription-based customer is expected to place order every alternate day on an average.

The quantity of orders is expected to be growing at a rate of 20%, 15%, 10%, 5% for 1st 4 years of operations. Beyond this it is expected to be remaining constant. The proportion of orders is expected to remain unchanged.

To attract the prospective customers, it is likely to spend heavily on advertising in initial years. The advertising and promotional activities would cost ₹ ₹ 7 crores, ₹ 8 crores and ₹ 10 crores in year 1, 2 and 3 respectively.

Remuneration to delivery partners will be ₹ 15000 p.m. fixed plus ₹ 20 per delivery. Each delivery partner can deliver an average of 30 orders per day. An additional provision of 50% of extra delivery partners to be made to consider the unexpected spike in orders on special occasions and holidays. The IT infrastructure and customer care expenses would amount to ₹ 8 crores each year.

Income Tax allows 20% p.a. depreciation on straight line basis for any fresh investments. Applicable tax rate can be taken as 25%. The after-tax cost of debt, preference share, and equity share would amount to 10%, 11% and 15% respectively.

Assume 365 days in a year.

1. Which of the following is the best estimate of discounting rate for the project?
 - (a) 12.00%
 - (b) 11.55%
 - (c) 12.70%
 - (d) 13.75%
2. Which of the following is the best measure of delivery partners required in year 1?
 - (a) 600
 - (b) 720
 - (c) 828
 - (d) 911
3. Which of the following is the best measure of total revenue in year 3?
 - (a) 30 crores
 - (b) 25.78 crores
 - (c) 33.66 crores
 - (d) 25.91crores
4. Which of the following years best represents the years of loss?
 - (a) Year 1 only
 - (b) Year 1 and 2 only

- (c) Year 1,2 and 3 only
(d) Year 1,2,3 and 4 only
5. Which of the following is the best measure of NPV of the project?
(a) 39.35 crores
(b) -25.63 crores
(c) 23.76 crores
(d) -35.67 crores **(5 x 2 = 10 Marks)**
2. If EBIT increases by 6%, taxable income increases by 6.9%. If sales increase by 6%, taxable income will increase by 24%.
Financial leverage must be -.....
(a) 1.19
(b) 1.13
(c) 1.12
(d) 1.15 **(2 Marks)**
3. The earning per share of the company is ₹10. It has an internal rate of return of 15% & capitalisation rate of the same risk class is 12.5% if the Walters model is used, what should be the price of a share of optimum payout.
(a) 92
(b) 94
(c) 96
(d) 98 **(2 Marks)**
4. Packing credit by an exporter is required to be liquidated within
(a) 12 months
(b) 3 months
(c) 90 days
(d) 180 days **(1 Mark)**

PART II – Descriptive Questions (35 Marks)

Question No. 1 is compulsory.

*Attempt any **two** questions out of the remaining **three** questions.*

1. (a) As a financial analyst of a large electronics company, you are required to DETERMINE the weighted average cost of capital of the company using (a) book value weights and (b) market value weights. The following information is available for your perusal.

The Company's present book value capital structure is:

Debentures (₹ 100 per debenture)	₹ 8,00,000
Preference shares (₹ 100 per share)	2,00,000
Equity shares (₹ 10 per share)	<u>10,00,000</u>
	<u>20,00,000</u>

All these securities are traded in the capital markets. Recent prices are:

Debentures, ₹ 110 per debenture, Preference shares, ₹ 120 per share, and Equity shares, ₹ 22 per share

Anticipated external financing opportunities are:

- ₹ 100 per debenture redeemable at par; 10 year maturity, 11 per cent coupon rate, 4 per cent flotation costs, sale price, ₹ 100
- ₹ 100 preference share redeemable at par; 10 year maturity, 12 per cent dividend rate, 5 per cent flotation costs, sale price, ₹ 100.
- Equity shares: ₹ 2 per share flotation costs, sale price = ₹ 22.

In addition, the dividend expected on the equity share at the end of the year is ₹ 2 per share, the anticipated growth rate in dividends is 7 per cent and the firm has the practice of paying all its earnings in the form of dividends. The corporate tax rate is 35 per cent. **(5 Marks)**

- (b) A Company had the following Balance Sheet as on March 31, 2023:

Liabilities and Equity	₹ (in crores)	Assets	₹ (in crores)
Equity Share Capital (Ten crore shares of ₹ 10 each)	100	Fixed Assets (Net)	250
Reserves and Surplus	20	Current Assets	150
15% Debentures	200		
Current Liabilities	<u>80</u>		
	<u>400</u>		<u>400</u>

The additional information given is as under:

Fixed Costs per annum (excluding interest)	₹ 80 crores
Variable operating costs ratio	65%
Total Assets turnover ratio	2.5
Income-tax rate	40%

Required:

CALCULATE the following and comment:

- Earnings per share
- Operating Leverage
- Financial Leverage

(iv) Combined Leverage.

(5 Marks)

- (c) From the following information, PREPARE a summarised Balance Sheet as at 31st March, 2023:

Working Capital	₹ 2,40,000
Bank overdraft	₹ 40,000
Fixed Assets to Proprietary ratio	0.75
Reserves and Surplus	₹ 1,60,000
Current ratio	2.5
Liquid ratio	1.5

(5 Marks)

2. (a) Akash Limited provides you the following information:

	₹
Profit (EBIT)	2,80,000
Less Int. on Debt@10%	40,000
EBT	2,40,000
Less Income Tax@50%	1,20,000
	1,20,000
No. of Equity Shares (₹ 10 each)	30,000
Earning per share (EPS)	4
Price /EPS (PE) Ratio	10

The company has reserves and surplus of Rs, 7,00,000 and needs ₹ 4,00,000 further for expansion. There is no change in Return on Capital Employed. You are informed that a debt (debt/ debt +equity) ratio higher than 40% will push the P/E ratio down to 8 and raise the interest rate on additional borrowings (debentures) to 12%. You are required to ASCERTAIN the probable price of the share.

(i) If the additional funds are raised as debt; and

(ii) If the amount is raised by issuing equity shares at ruling market price.

(6 Marks)

- (b) A firm had been paid dividend at ₹ 2 per share last year. The estimated growth of the dividends from the company is estimated to be 5% p.a. DETERMINE the estimated market price of the equity share if the estimated growth rate of dividends (i) rises to 8%, and (ii) falls to 3%. Also COMPUTE the present market price of the share, given that the required rate of return of the equity investors is 15.5%.

(4 Marks)

3. A company is considering its working capital investment and financial policies for the next year. Estimated fixed assets and current liabilities for the next year are ₹ 2.60 crores and ₹ 2.34 crores respectively. Estimated Sales and EBIT depend on current assets investment, particularly inventories and book-

debts. The financial controller of the company is examining the following alternative Working Capital Policies:

(₹ Crores)

Working Capital Policy	Investment in Current Assets	Estimated Sales	EBIT
Conservative	4.50	12.30	1.23
Moderate	3.90	11.50	1.15
Aggressive	2.60	10.00	1.00

After evaluating the working capital policy, the Financial Controller has advised the adoption of the moderate working capital policy. The company is now examining the use of long-term and short-term borrowings for financing its assets. The company will use ₹ 2.50 crores of the equity funds. The corporate tax rate is 35%. The company is considering the following debt alternatives.

(₹ Crores)

Financing Policy	Short-term Debt	Long-term Debt
Conservative	0.54	1.12
Moderate	1.00	0.66
Aggressive	1.50	0.16
Interest rate-Average	12%	16%

You are required to CALCULATE the following:

- (1) Working Capital Investment for each policy:
 - (a) Net Working Capital position
 - (b) Rate of Return
 - (c) Current ratio
 - (2) Financing for each policy:
 - (a) Net Working Capital position.
 - (b) Rate of Return on Shareholders' equity.
 - (c) Current ratio. **(10 Marks)**
 4. (a) The profit maximization is not an operationally feasible criterion." COMMENT on it. **(4 Marks)**
 - (b) "Financing a business through borrowing is cheaper than using equity." Briefly EXPLAIN. **(4 Marks)**
 - (c) WHAT is meant by weighted average cost of capital? **(2 Marks)**
- OR**
- (c) EXPLAIN in brief the assumptions of Modigliani-Miller theory. **(2 Marks)**